

Peru: Successful Economy, Disastrous Politics

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With the removal of Peruvian President José Jerí, the country rings in its eighth ruler in a decade. Why is it that they can't conclude their terms? Is it political instability or a poor institutional design?



By **Fabiola Chambi** (<https://www.connectas.org/member/fabiola-chambi-english/>)

On February 18 at 8:30 PM, Peru's Congress voted to elect its eighth president in a decade. This new episode of political crisis didn't come with protests or chaos in the streets, as people in Lima and the provinces calmly went about their daily routines. It was just another president, another name on a long list, and an open question: how long will this last?

Parliament had once again taken the reins. After impeaching the previous president, José Jerí, it elected leftist José María Balcázar, from the Perú Libre parliamentary bench, to assume the presidency on an interim basis until July 28. That is not much time, considering that general elections are scheduled to be held in April. But in Peru's case, sustaining a government, even for such a short period, can be a major challenge.

The “Almighty” Congress

To mention just a few examples of this political odyssey, Pedro Pablo Kuczynski was linked to the Odebrecht case and resigned before finishing his term in March 2018; Martín Vizcarra, also accused of corruption, left office in November 2020; Pedro Castillo, currently in prison, was removed from office in

December 2022, following a failed attempt to dissolve Congress and establish a state of emergency; and most recently, Dina Boluarte was subjected to an express removal process in October 2025, amid a wave of violence and crime that she was unable to handle.

In all these cases, lawmakers applied the concept of “permanent moral inability (<https://www.youtube.com/watch?v=PEhi6U0fZ4U>)”, a constitutional recourse that allows them to declare a vacancy or impeachment when they consider that the president “is not in an ethical or personal condition to act in office.” This procedure gives rise to broad interpretations and is highly controversial.

There is also the recourse of censure, applied to former President Jerí, in office for only four months that were marked by scandals. One of these erupted when it became known that he attended a meeting, outside his agenda, with Chinese businessmen in a Chinese-Peruvian cuisine restaurant. In an attempt to justify his actions, the former president claimed that he was only discussing the celebration of Sino-Peruvian Friendship Day in an effort to do “something different.” Added to this case, which Peruvians dubbed *Chifagate*, was another related to the visit of women to the Government Palace who were later hired to perform public functions. After the revelation, some resigned.

But why do presidents fall relatively easily in Peru? According to Aníbal Quiroga, a lawyer and professor at prestigious Peruvian universities, the incumbent must have a solid party structure in order to remain in power. “Since the 1993 Constitution, we have had a semi-presidential or semi-parliamentary system, whatever you want to call it, and this means that the government is obliged to reach consensus with Congress. And what has happened in recent years, since 2018, is that the president does not have a majority (...) So, if he comes to power without a party structure, he is at the mercy of Congress. With Toledo, Humala, and Alan García, impeachment was not an issue because they had a parliamentary group that supported them.”

Along the same lines, political analyst José Carlos Requena asserts that the concept of vacancy has been present in all constitutions, but it had never led to this instability. According to him, this has to do with two factors: a “solid parliamentary anchor” and the political actors. “What we have now, from 2016 onwards, are amateur politicians with no experience, often also representing illicit or private interests. So they no longer owe allegiance to the party or caucus but to the union or federation of transporters, illegal miners, land traffickers. That kind of representation ends up complicating the problem beyond the constitutional design,” Requena told CONNECTAS (<http://connectas.org/>).

Congress has a high level of rejection among the population (<https://larepublica.pe/politica/2026/01/26/iep-87-de-peruanos-rechaza-al-congreso-y-desaprobacion-se-mantiene-en-niveles-criticos-hnews-1584360>). According to a recent survey by Instituto de Estudios Peruanos (IEP), 87% disapprove of its performance.

Chaos-Proof Economy

In Latin America, where political chaos usually translates into economic chaos or vice versa, the question is: why is Peru different? There is no magic formula. In fact, the factors are clear: independence and autonomy of the central bank, fiscal stability, and an international scenario with favorable prices for raw material exports.

Regarding the first point, the president of Banco Central de Reserva (BCR), Julio Velarde (https://x.com/elbuho_pe/status/2026062515034021970), was elected in October 2006 and ratified in 2021 for a fourth consecutive term, until 2026. Regardless of the government or ideological leanings, all have supported him, which has consolidated monetary stability, highly valued by private investment. Peru has a dual currency economy, where the dollar and the sol function in the local economy and people save in both currencies, driving partial dollarization.

According to official data, the Peruvian economy closed 2025 with 3.4% growth over the previous year, despite political instability. However, for 2026, the Instituto Peruano de Economía (IPE) projects that growth will be around 2.7%.

Analyst Requena believes that despite being weakened, these pillars remain in place because “there is a central idea of not making macroeconomic changes, although this has been suffering in recent years. Some finance ministries in certain periods have ended up yielding to pressure from subnational governments and private groups. Now, there is doubt as to whether Balcázar will maintain this or give in to the unions, which is something that cannot be ruled out.”

On the other hand, Peru has very strong exports. According to the Ministry of Economy and Finance, between January and October 2025, copper exports reached more than 22 million dollars, followed by gold, which registered almost 16 million dollars. Both minerals stabilize the dynamics of the mining sector. However, cycles end, and uncertainty can arise when prices fall.

The Future of Peruvians

Less than two months before the elections, apathy seems to have taken over Peruvian society. The recent Ipsos poll projects a complex scenario driven by a highly fragmented vote and politicians with low levels of popularity. For example, the former mayor of Lima, Rafael López Aliaga, of the Renovación Popular party, leads the polls but with only 12% support. This almost certainly points to a runoff in June.

The upcoming elections will determine the governance (<https://www.bbc.com/mundo/articles/cnv61jy50q9o>) of the country in the coming years, says Quiroga. “There are many adventurers, many *caudillos*, and individuals improvising led by a delusion to become president easily because, seeing no party structure, they run directly,” says the expert.

Meanwhile, the first thing is for Balcázar to be able to hold on to his mandate until July, and that is not guaranteed because his own mistakes are already weighing on him and could lead to his removal by Congress at any moment. The octogenarian president has unresolved issues with the justice system and on June 16 he will have to appear in court to answer for the alleged crime of embezzlement during his tenure as dean of Colegio de Abogados (the Bar Association.)

In addition, controversy has surrounded him since 2023, when he was a congressman and declared before the Congressional Justice Committee that marriage in Peru has become dysfunctional and that early sexual relations are not harmful. He said: “As long as there is no violence, early sexual relations actually help a woman’s psychological future; this has been studied.” And before the press, he defended the idea that teenagers should be able to marry from the age of 14.

These factors have led to a certain accumulated fatigue among citizens, who have lost confidence in the political class, so the future does not look promising in this area.

For Renzo Giner, a journalist at *El Comercio*, corruption is the root of all evil, adding to the apathy of Peruvians. "In Peru, we suffer from corruption from the president down to the ordinary citizen. I would say it is scandalous and worrying, but in reality it has become so natural because there are some things that only work this way (...) If you ask any Peruvian what the main problem in the country is, they will undoubtedly say corruption, and these days the second is insecurity. If you asked a Peruvian from the 1980s, they would also say terrorism. But corruption is always there."

The dilemma is that the hybrid semi-parliamentary system, with its enormous capacity to remove the president from office, has not served to eliminate this problem, and has contributed to permanent uncertainty that does not help the stability of Peruvian democracy.

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